Management Discussion and Analysis

For the fourth quarter and year ended December 31, 2020

Kiatnakin Phatra Bank Public Company Limited

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Overall Business Operations

The Bank continued to operate its business on a prudent basis amid the various uncertainties surrounding 2020 by focusing on growing quality loan portfolio and continuing with its strategic plan on expanding the Bank's 3 key business pillars: Credit Business, Private Banking Business and Investment Banking Business in order to constantly diversify its revenues and enhance its opportunities to generate proper and various types of return. As a result, the Bank has been able to deliver solid performance which helped to lessen the impacts arising from the many challenges during the past year.

The consolidated net profit of the Bank and subsidiaries for 2020 totaled Baht 5,123 million, a decline of 14.4% from 2019 mainly from the increase in provisions as a result of the continued uncertainties from the economic slowdown as impacted by COVID-19. The consolidated comprehensive income for 2020 totaled Baht 5,416 million, decreased of 3.7% comparing to 2019. Pre-provision operating profit for 2020 increased by 17.9% with higher net interest income of 19.2% yoy driven by loan growth and lower funding costs from continuous cost management while non-interest income declined slightly by 4.3% from the slowdown in economic activities. For operating expenses, the Bank continued to focus on spending that are in accordance with the Bank long term strategic plans together with effective cost management control resulting in overall operating expenses to decline by 3.5%[1]. The Bank remained prudent by increasing the level of provisions taking into account the economic slowdown and prolonged uncertainties from the COVID-19 situation resulting in high expected credit loss amount during 2020 totaling Baht 4,095 million.

For loan portfolio, the Bank continued to focus on asset quality management while expanding into profitable segment with better asset quality taking into careful considerations the economic conditions. As such, the overall Bank's loan portfolio for 2020 expanded by 12.4%[2] from the end of 2019 with growth driven by hire purchase, housing and corporate lending segment. For asset quality, the Non-Performing Loans (NPLs) to total loans ratio for 2020 declined further to 2.9%[2] from 4.0% at the end of 2019 from asset quality management and also from growth in the loan portfolio.

The Bank current level of capital remains strong and is above the minimum requirement by the Bank of Thailand with the capital adequacy ratio on a consolidated basis as of end of December 2020 at 18.28%.

For Capital market business, the market share (SET and mai excluding proprietary trading) of Kiatnakin Phatra Securities Plc. for 2020 continued to increase to 10.85% from 9.61% during 2019, ranking 1st from total 38 brokers.

Overall market environment

The Thai economy in 2020 had plunged into a severe economic recession as the world grappled with the impact of the COVID-19 pandemic. Although Thailand was regarded as one of the most successful countries in the world in controlling the outbreak, it was also one of the countries facing the worst impact from COVID-19 as 12% of Thailand's gross domestic product (GDP) is from the tourism sector. In addition, the decline in Thailand's major trade partners' income resulted in considerable reduction of Thailand's export revenue, on top of the negative effects from the US-China trade war during the pre-pandemic years. In addition, the decrease in

[1] Excluding loss from sale of foreclosed assets and loss from revaluation of foreclosed assets
[2] Excluding loans classified as Purchased or originated credit-impaired (POCI)

business and household income amid elevated uncertainties clouding the economic outlook triggered a significant decline in domestic consumption and investment despite government support through various stimulus packages. For 2020, the number of tourist arrivals contracted by 83.2% yoy to 6.7 million people, while exports fell by 6.0% yoy. Excluding exports of gold and arms, the value of Thai exports declined by 8.6% yoy.

In 2021, the recovery of the Thai economy is expected to be fragile and uneven across sectors and geography. The tourism industry is likely to remain weak as we anticipate only 2 million tourist arrivals in the fourth quarter of 2021, still much lower than the pre-crisis figure of around 40 million people per year. Furthermore, the second wave of the outbreak that started towards the end of 2020 will slow down the recovery of domestic consumption and investment in the first quarter of 2021 compared to the initial projection. However, domestic economic recovery is expected to resume given that the outbreak of COVID-19 local infections does not prolong and no national lockdown measures are imposed. Thailand's export growth in 2021 is projected to recover as global demand picks up and consumer confidence improves with the COVID-19 vaccine optimism.

Key risks that could derail the recovery of the Thai economy in 2021 include 1) a severe outbreak of the current second wave which could induce the government to enforce additional national lockdown measures, causing negative impact on consumption, investment as well as the delay of border reopening; 2) financial health of businesses especially in the tourism sector, which, if deteriorating further, may lead to a credit event as well as affect employment and household income situations; 3) a strengthening Thai Baht which may impede the recovery of Thailand's exports; and 4) domestic political uncertainties that may affect investor confidence and result in a delay of government policy implementation.

For the auto industry, the total number of car sales for 2020 contracted by 21.4% yoy, with the passenger vehicle segment and the commercial vehicle segment contracting by 31.0% yoy and 15.1% yoy, respectively. The underperformance of the car industry was consistent with the economy-wide economic slowdown and the credit tightening by financial institutions following signs of deterioration in loan quality.

In the equity market, the average daily turnover (SET and mai) for 2020 increased by 29.0% from Baht 53,192 million in 2019 to Baht 68,607 million in 2020. The SET index at the end of 2020 closed at 1,449.35 points, declining by 8.3% from 1,579.84 points at the end of 2019.

Key changes for the year 2020

Changes in Financial Reporting Standards

The financial statements for the year 2020 were prepared in accordance with the Thai Financial Reporting Standard No.9 Financial Instruments (TFRS 9) and Thai Financial Reporting Standard No.16 Leases (TFRS 16) guidelines which became effective from January 1, 2020 while the financial statements for the period during 2019 were prepared in accordance with existing guidelines prior to the adoption of TFRS 9 and TFRS 16. The key changes from the adoption of the above financial reporting standards are in the following areas:

- The concept of interest recognition is changed to recognize at effective interest rate (EIR)
- Classification and measurements of financial instruments into following categories: amortized cost, fair value through other comprehensive income (FVOCI) and fair value through profit and loss (FVTPL)

- Impairment of financial assets based on an expected credit loss (ECL) framework with financial assets classification into 3 stages. Stage 1: financial assets where the credit risk has not increased significantly with loss allowance based on 12 month expected credit loss. Stage 2: financial assets where the credit risk has significantly increased and Stage 3: credit-impaired financial assets with loss allowance for Stage 2 and Stage 3 based on lifetime expected credit loss
- Classification of investment in receivables into Purchased or originated credit-impaired financial assets (POCI) measured at amortized cost
- Adoption of TFRS 16 requires the recognition of right-of-use assets and lease liabilities

Change of Company Name

From 17 August 2020 onwards, Kiatnakin Phatra Financial Group has changed the name for the Bank and subsidiary companies of the Group. The change is a result of the merger in 2012 which enabled the Group to expand its service capabilities to meet the needs of more customers with the objective of providing seamless financial services whether in commercial banking or capital market business. All companies now use a new logo designed based on a combination of the existing logos of Kiatnakin Bank and Phatra Securities. The stock symbol for Kiatnakin Phatra Bank Public Company Limited remains the same as KKP.

Previous Name	New Name
Kiatnakin Bank Public Company Limited	Kiatnakin Phatra Bank Public Company Limited
Phatra Securities Public Company Limited	Kiatnakin Phatra Securities Public Company Limited
Phatra Asset Management Company Limited[3]	Kiatnakin Phatra Asset Management Company Limited
Phatra Capital Public Company Limited	KKP Capital Public Company Limited

Update status on Coronavirus 2019 (COVID-19)

The COVID-19 situation has created many challenges and uncertainties during 2020. The Bank has provided assistant to customers through various relief measures both from the Bank own measures and those initiated from the Bank of Thailand. The relief measures that the Bank implemented during 2020 include loan payment delay for principal/ interest, soft loans as part of BOT liquidity measures for SME customers, the reduction in lending rates for MLR, MOR, MRR, restructuring made to terms including installment reductions, loan term extension in line with the customer financial ability and other assistance as appropriate. The Bank also offers reductions in interest occurred during loan payment suspension period for customers resuming with repayment after the end of the relief period.

For the Bank's customers whose financial relief measures ended during 2020, the proportion of customers able to resume payment including those with terms modifications has overall been slightly higher than anticipated. For retail customers, all customers participating in the relief programs have exited the relief period at the end of 2020 with approximately more than 75% of customers able to service payments post relief period. For commercial lending customers which are mostly loans with collateral, a small portion of these customers have exited the relief programs during the last quarter of 2020 with approximately 75% of these

[3] Phatra Asset Management Company Limited name changed effective from September 28, 2020

customers able to continue with their payments while the remaining 25% have term modifications and will likely be able to continue with payments. The remaining commercial lending customers will exit the relief programs during 2021. As of the end of 2020, customers who are still under the relief period have reduced to approximately 11% of the Bank's total loan outstanding.

Although the COVID-19 outbreak situation for Thailand improved during the second half of 2020, allowing a slight economic recovery during the second half of 2020. However, with the recent increase of COVID-19 cases at the end of 2020 and continuing into 2021 including the ongoing spread of the virus in other countries, the Bank will continue to monitor the situation closely while prudently assessing the portfolio quality. The Bank will continue to focus on providing support to customers and assist in finding appropriate financial solutions on a case by case basis.

Operating results of the Bank and subsidiaries for the year 2020 and 4Q20

Summary of operating performance

Unit : Baht million	4Q20	3Q20	% QoQ	4Q19	% YoY	2020	2019	% YoY
Net Interest income	3,996	3,530	13.2	3,118	28.1	14,679	12,316	19.2
Non-interest income	1,979	1,283	54.2	1,892	4.6	6,554	6,852	(4.3)
Total operating income	5,974	4,813	24.1	5,010	19.2	21,233	19,168	10.8
Total other operating expenses	2,545	2,130	19.4	2,732	(6.9)	10,652	10,194	4.5
Expected credit losses	2,077	1,017	104.2	-	n.a.	4,095	-	n.a.
Impairment loss on loans and debt securities	-	-	n.a.	208	n.a.	-	1,676	n.a.
Profit from operating before income tax expenses	1,353	1,665	(18.8)	2,070	(34.7)	6,487	7,297	(11.1)
Income tax expenses	235	310	(24.3)	391	(40.0)	1,344	1,307	2.8
Net Profit (attributable to equity holders of the Bank)	1,108	1,347	(17.7)	1,680	(34.0)	5,123	5,988	(14.4)
Total Comprehensive income (attributable to equity holders of the Bank)	1,530	1,458	5.0	1,365	12.1	5,416	5,625	(3.7)
Basic earnings per share (Baht)	1.31	1.59	(17.6)	1.98	(33.8)	6.05	7.07	(14.4)

For 2020, the consolidated net profit totaled Baht 5,123 million, a decrease of 14.4% from 2019 of which Baht 1,221 million was the net profit from Capital Market business operated by KKP Capital Plc. and subsidiaries. Pre-provision operating profit for 2020 increased by 17.9% yoy driven by the increased in net interest income from loan expansion and lower funding costs from effective cost management while non-interest income declined 4.3%. For 2020, the Bank remained prudent and set aside higher provisions due to the economic uncertainties from the COVID-19 impacts resulting in lower net profit for the year 2020 comparing to 2019. The consolidated comprehensive income for 2020 totaled Baht 5,416 million, a decline of 3.7% yoy. The Capital Market business comprehensive income was Baht 1,414 million. The comprehensive income included revaluation of investments.

For 4Q20, the consolidated net profit totaled Baht 1,108 million, a decline of 34.0% comparing to the same period last year, of which Baht 309 million was the net profit from Capital Market business operated by KKP Capital Plc. and subsidiaries. While net interest income and non-interest income increased satisfactorily yoy, however with the prolonged uncertainties from the current COVID-19 situation, the Bank continued to prudently set up additional expected credit loss amounting to Baht 2,077 million for 4Q20, higher when comparing to the same period last year resulting in lower net profit for 4Q20. The consolidated comprehensive income for 4Q20 totaled Baht 1,530 million, increased of 12.1% from improved market conditions with Capital Market business's comprehensive income at Baht 606 million.

Summary of financial performance ratios

Annualized Ratios	4Q20	3Q20	2Q20	1Q20	4Q19	2020	2019
Net Profit (Baht million)	**1,108**	**1,347**	**1,184**	**1,484**	**1,680**	**5,123**	**5,988**
ROAE (%)	9.7	12.2	11.1	13.8	15.5	11.3	13.9
ROE (%)	9.9	12.4	11.3	13.5	15.8	11.7	14.2
ROAA (%)	1.2	1.5	1.3	1.7	2.1	1.5	1.9
Comprehensive income (Baht million)	**1,530**	**1,458**	**1,629**	**799**	**1,365**	**5,416**	**5,625**
ROAE (%)	13.4	13.2	15.3	7.4	12.6	12.0	13.1
ROE (%)	13.6	13.4	15.6	7.3	12.8	12.3	13.3
ROAA (%)	1.7	1.6	1.8	0.9	1.7	1.6	1.8
Loan growth	3.9	3.0	0.7	4.2	0.0	12.4	4.2
NPLs/ Total loans (excluding interbank and POCI)	2.9	2.9	3.4	3.7	4.0	2.9	4.0
Allowance for expected credit loss/ Total NPLs excluding POCI (coverage ratio)	170.9	152.6	128.7	115.9	111.2	170.9	111.2

Net Interest Income

Unit: Baht million	4Q20	3Q20	% QoQ	4Q19	% YoY	2020	2019	% YoY
Interest income	**5,101**	**4,705**	**8.4**	**4,557**	**12.0**	**19,584**	**18,036**	**8.6**
Interest on loans	2,089	1,859	12.4	1,973	5.9	8,187	7,352	11.3
Hire purchase and financial lease income	2,550	2,617	(2.6)	2,323	9.8	10,112	9,233	9.5
Interest on POCI	287	31	832.7	51	461.0	468	540	(13.3)
Interest on interbank and money market items	70	75	(7.4)	50	39.7	324	270	20.2
Interest on securities	103	121	(14.6)	155	(33.3)	478	620	(23.0)
Others	2	2	(4.1)	5	(58.7)	15	21	(27.3)
Interest expense	**1,106**	**1,175**	**(5.9)**	**1,439**	**(23.1)**	**4,905**	**5,720**	**(14.2)**
Interest on deposits	737	782	(5.7)	783	(5.9)	3,185	3,204	(0.6)
Interest on interbank and money market items	22	22	2.1	60	(62.8)	133	254	(47.4)
Interest on debt issued and borrowings	177	200	(11.3)	317	(44.1)	912	1,157	(21.2)
Fees and charges on borrowings	2	4	(46.4)	2	(19.0)	9	11	(17.5)
FIDF and DPA fees	160	162	(1.0)	264	(39.3)	626	1,043	(40.0)
Others	7	6	7.7	13	(44.8)	39	51	(22.9)
Net Interest Income	**3,996**	**3,530**	**13.2**	**3,118**	**28.1**	**14,679**	**12,316**	**19.2**

For 2020, net interest income amounted to Baht 14,679 million, an increase of Baht 2,363 million or 19.2% yoy from Baht 12,316 million in 2019. Interest income was Baht 19,584 million, an increase of 8.6% yoy mainly from the increase in interest income on loans and interest income on hire purchase and financial lease income from loan expansions and partly from the change due to TFRS 9 interest income calculation based on effective interest method effective from 2020 onwards. Yield on loan for 2020 increased slightly to 7.2% from 7.1% for 2019.

Interest expense totaled Baht 4,905 million, a decline of 14.2% yoy, with cost of funds declining further to 1.7% for 2020 comparing to 2.3% for 2019 from continuous cost management in line with the decline in policy rate and market deposit rates and also from the temporary reduction in FIDF fee from 0.46% to 0.23% effective from Jan 1, 2020 onwards, resulting in loan spread for 2020 to increase to 5.5% from 4.8% yoy.

For 4Q20, net interest income totaled Baht 3,996 million, an increase of 28.1% mainly from the increased in interest income on loans and interest income from hire purchase and financial lease from loan expansions and partly from the change due to TFRS 9 interest income calculation. Additionally, interest income from POCI also increased during 4Q20 from the progress in resolving POCI loans while funding costs continue to decline resulting in loan spread to increase to 5.3% during 4Q20 from 4.9% yoy

%	4Q20	3Q20	2Q20	1Q20	4Q19	2020	2019
Yield on loan	6.8	7.1	7.5	7.7	7.2	7.2	7.1
Cost of fund	1.5	1.6	1.8	1.9	2.3	1.7	2.3
Loan spread	5.3	5.5	5.7	5.7	4.9	5.5	4.8

Non-Interest Income

Unit: Baht million	4Q20	3Q20	% QoQ	4Q19	% YoY	2020	2019	% YoY
Fees and services income	1,337	1,209	10.6	1,414	(5.4)	5,107	5,202	(1.8)
Fees and services expenses	186	185	0.5	163	13.7	771	598	29.0
Fees and services income, net	**1,152**	**1,024**	**12.4**	**1,250**	**(7.9)**	**4,336**	**4,604**	**(5.8)**
Gain on financial instruments measured at fair value through profit or loss	280	157	78.6	-	n.a.	1,079	-	n.a.
Gain on trading and foreign exchange transactions, net	-	-	n.a.	47	n.a.	-	277	n.a.
Gain on financial liabilities designated at fair value	-	-	n.a.	126	n.a.	-	286	n.a.
Gain (loss) on investments, net	(11)	(0)	n.a.	38	(127.7)	50	568	(91.3)
Dividend income and profit sharing	42	45	(7.6)	96	(56.7)	389	576	(32.5)
Other operating income	516	57	805.2	334	54.3	700	541	29.5
Total Non-Interest Income	**1,979**	**1,283**	**54.2**	**1,892**	**4.6**	**6,554**	**6,852**	**(4.3)**

For 2020, non-interest income totaled Baht 6,554 million decreased by 4.3% yoy. The decline is mainly due to lower net fee and services income which amounted to Baht 4,336 million, declining by 5.8% from 2019. For the year 2020, fee from Brokerage business totaled Baht 2,240 million, a considerable increase of 28.2% yoy in line with the higher market trading activity of 29.0% yoy during 2020 together with the increase in market share of Kiatnakin Phatra Securities for 2020 to 10.85% from 9.61% in 2019, ranking 1st in market share. Meanwhile, loan related fees reduced yoy, whereby under TFRS 9, loan related fees are amortized and recorded in net interest income. Fee from Asset Management business totaled Baht 650 million declining 20.0% yoy from the decline in asset under management from overall market conditions while fee generated from investment banking business also declined during 2020 where the Bank has been able to record fee during the beginning of 2020 but subsequent market uncertainties from COVID-19 created slowdown in investment banking transactions. In addition to net fee and services income, the Bank also recorded higher gain on financial instruments measured at fair value through profit and loss comparing to 2019 from the Equity and Derivatives Trading Business and Financial Market Business which performed well during 2020.

For 4Q20, non-interest income totaled Baht 1,979 million, increasing 4.6% yoy driven by higher brokerage business income from the increase in market trading volume. Additionally, during 4Q20, the Bank recorded higher gain on financial instruments measured at fair value through profit and loss and also higher other operating income mainly from proceeds from sale of non-performing loans recorded during 4Q20.

Other operating expenses

For 2020, other operating expenses were Baht 10,652 million, increased by 4.5% yoy mainly from the items relating to foreclosed assets. As a prudent measure, during 1Q20, the Bank recorded additional impairment on revaluation of foreclosed assets in the amount of Baht 665 million on foreclosed properties that are deemed to require a long period of time to dispose while loss from sale of foreclosed assets also increased slightly yoy. Loss from sale of foreclosed assets during 2020 total Baht 894 million, a slight increase when comparing to loss of Baht 840 million yoy. Loss on sale of foreclosed assets comprised of loss from sale of repossessed cars amounting to Baht 1,309 million, with loss declining from Baht 1,423 million yoy from slower

car repossession activity during financial relief period and also from gain on sale of foreclosed properties which totaled Baht 415 million for 2020, decreasing from Baht 584 million during 2019 with sale activities starting to show improvement during the second half of 2020 after the lock down measures ended. If excluding loss from sale and revaluations of foreclosed assets, operating expenses for 2020 totaled Baht 8,910 million, declining by 3.5% comparing to 2019 mainly from the decrease in premises and equipment expenses and marketing expenses from reduced activities as a result of economic slowdown. Cost-to-income ratio excluding loss from sale and revaluations of foreclosed assets stood at 41.2% improving from 46.7% during 2019.

For 4Q20, other operating expenses were Baht 2,545 million, declining by 6.9% yoy driven by lower marketing expenses and lower loss from sale of foreclosed assets which for 4Q20 totaled Baht 138 million with loss from sale of repossessed cars amounting to Baht 212 million, with loss declining from Baht 441 million yoy from slower car repossession activity during financial relief period and from gain on sale of foreclosed properties recorded at Baht 74 million for 4Q20. Cost-to-income ratio excluding loss from sale and revaluations of foreclosed assets stood at 37.4% improving from 46.3% yoy.

Unit: Baht million	4Q20	3Q20	% QoQ	4Q19	% YoY	2020	2019	% YoY
Employee's expenses	1,410	1,491	(5.4)	1,392	1.3	5,664	5,577	1.6
Directors' remuneration	10	8	28.4	13	(20.5)	33	47	(30.6)
Premises and equipment expenses	290	273	6.0	323	(10.4)	1,140	1,300	(12.3)
Taxes and duties	118	124	(4.8)	129	(8.3)	493	427	15.5
Loss from revaluation of foreclosed assets (reversal)	146	(38)	(482.2)	63	133.4	849	124	584.2
Loss (gain) from sale of foreclosed assets	138	(134)	(202.8)	274	(49.6)	894	840	6.4
Other expenses	432	407	6.2	538	(19.8)	1,579	1,879	(16.0)
Total other operating expenses	**2,545**	**2,130**	**19.4**	**2,732**	**(6.9)**	**10,652**	**10,194**	**4.5**

Expected Credit Loss (ECL)

From 1 January 2020 onwards, the expected credit loss (ECL) will be based on impairment requirement under Thai Financial Reporting Standard No. 9 (TFRS 9). Financial instruments under TFRS 9 are classified into 3 stages. For stage 1, TFRS 9 requires ECL allowances based on 12 month expected losses. For Stage 2 and Stage 3, the standard requires ECL allowances based on lifetime expected losses. Moreover, ECL also incorporates forward-looking economic scenarios into loss allowances.

For 2020, expected credit losses totaled Baht 4,095 million, an increase of 144.2% comparing to Baht 1,676 million for 2019. Although, the situation surrounding COVID-19 has shown improvement during the second half of 2020 resulting in slight economic recovery during the second half of 2020. However, with the deterioration of the COVID-19 situation at the end of 2020 and continuing into 2021, which could delay the pace of economic recovery and may result in deterioration of asset quality in the coming periods. The Bank continued to exercise cautionary measure under the TFRS 9 framework by setting aside higher provisions and management overlay to reflect possible deteriorations resulting from COVID-19 impacts. Total management overlay for 2020 amounted to Baht 2,469 million. Total allowance for expected credit losses to total NPLs ratio

(coverage ratio) increased to 170.9% for 2020 from 111.2% for 2019. When excluding the release of excess loan loss reserve, provisions including loss from sale of repossessed cars (credit cost) for 2020 amounted to 2.55% of average loan comparing to 1.36% during 2019.

For 4Q20, expected credit losses totaled Baht 2,077 million, increasing from Baht 208 million yoy which includes management overlay in the amount of Baht 932 million. Excluding the release of excess loan loss reserve, provisions including loss from sale of repossessed cars (credit cost) stood at 3.63% of average loan for 4Q20.

Statements of Financial Position

Assets, as of end of December 2020, totaled Baht 363,411 million, increased of Baht 51,721 million or 16.6% from the end of 2019 mainly from the increase in interbank and money market items and the increase in loans.

Assets (Baht '000)	**Consolidated**		**Change**	
	Dec 31, 2020	**Dec 31, 2019**	**Amount**	**%**
Cash	1,490,626	1,109,658	380,968	34.3
Interbank and money market items, net	32,770,543	11,981,838	20,788,705	173.5
Financial assets measured at fair value through profit or loss	11,289,598	-	11,289,598	n.a.
Derivatives assets	10,276,081	4,298,538	5,977,543	139.1
Investment, net	23,312,942	39,201,003	(15,888,061)	(40.5)
Investments in receivables, net	-	1,619,449	(1,619,449)	n.a.
Investments in properties, net	21,761	21,870	(109)	(0.5)
Net loans to customers and accrued interest receivables	258,846,014	227,677,310	31,168,704	13.7
Properties foreclosed, net	2,937,160	3,585,530	(648,370)	(18.1)
Land, premises and equipment, net	3,284,464	3,038,243	246,221	8.1
Right-of-use assets	229,835	-	229,835	n.a.
Other intangible assets, net	1,128,488	1,151,041	(22,553)	(2.0)
Goodwill	3,066,035	3,066,035	-	0.0
Deferred tax assets	1,338,682	1,846,295	(507,613)	(27.5)
Accounts receivable from clearing house and broker - dealers	1,334,267	4,056,938	(2,722,671)	(67.1)
Securities and derivative business receivables	6,837,597	4,620,082	2,217,515	48.0
Other assets, net	5,246,923	4,416,176	830,747	18.8
Total Assets	363,411,016	311,690,006	51,721,010	16.6

Liabilities

As of end of December 2020, amounted to Baht 316,785 million, increasing 18.3% from the end of 2019. Deposits were Baht 251,526 million, increasing by 46.1%. Deposits comprised of 47.5% of term deposits and 52.5% of current and saving accounts (CASA). Meanwhile, debts and borrowings were Baht 28,344 million, declining by 48.9% from the end of 2019. Loan to deposits and borrowings ratio stood at 95.6%, comparing to 104.6% at the end of 2019.

Liabilities (Baht '000)	**Consolidated**		**Change**	
	Dec 31, 2020	**Dec 31, 2019**	**Amount**	**%**
Deposits	251,525,874	172,173,559	79,352,315	46.1
Current Account	693,044	535,014	158,030	29.5
Saving Account	131,339,535	64,093,363	67,246,172	104.9
Term Deposit	119,237,952	107,049,290	12,188,662	11.4
Certificate of Deposit	255,343	495,892	(240,549)	(48.5)
Interbank and money market items, net	10,263,870	17,339,111	(7,075,241)	(40.8)
Liabilities payable on demand	392,712	377,326	15,386	4.1
Financial liabilities measured at fair value through profit or loss	896,906	3,498,702	(2,601,796)	(74.4)
Derivatives liabilities	8,724,685	4,038,272	4,686,413	116.0
Debt issued and borrowings	28,343,500	55,415,433	(27,071,933)	(48.9)
Lease liabilities	183,697	-	183,697	n.a.
Provisions	1,066,255	844,037	222,218	26.3
Deferred tax liabilities	13,556	26,703	(13,147)	(49.2)
Accounts payable to clearing house and broker - dealers	588,026	614,271	(26,245)	(4.3)
Securities and derivative business payables	5,539,391	3,868,461	1,670,930	43.2
Accrued interest expenses	467,833	745,793	(277,960)	(37.3)
Other accounts payable	3,923,055	3,141,943	781,112	24.9
Income tax payable and specific business tax payable	399,461	559,255	(159,794)	(28.6)
Other liabilities	4,456,474	5,035,881	(579,407)	(11.5)
Total Liabilities	316,785,295	267,678,747	49,106,548	18.3

Capital Adequacy Ratio

The Bank maintains a strong capital position and can adequately withstand the current uncertainties and is above the regulatory requirement (regulatory requirement and additional capital conservation buffer) of 11.0% for total capital ratio, 8.5% for Tier 1 capital and 7.0% for Common Equity Tier 1 capital. The Bank performs capital management planning to maintain an appropriate level of capital which is consistent with the annual business plan of the Bank including any reviews during the year to ensure appropriate level of capital to withstand any uncertainties.

As of December 31, 2020, the Capital Adequacy Ratio (BIS ratio) under Basel III which included profit up to end of 2Q20 was at 17.39% while Tier-1 ratio was at 13.38%. When including profit up to end of 4Q20, the BIS ratio will increase to 18.15% while Tier-1 ratio will be 14.14%. The Bank Tier 1 capital are all Common Equity Tier 1 contributing to 76.96% of total capital reflecting high quality of capital.

Capital Requirement (%)	**Minimum regulatory requirement**	**Capital Conservation Buffer**	**Total Capital Requirement**
Common Equity Tier 1	4.50	2.50	7.00
Tier 1 capital	6.00	2.50	8.50
Total capital	8.50	2.50	11.00

Total Capital and Capital Adequacy Ratio of the Bank as of end of December 2020 are as follows:

	Bank Only			**Consolidated**		
	December 2020	**September 2020**	**December 2019**	**December 2020**	**September 2020**	**December 2019**
Capital Requirement (Unit: Baht million)						
Common Equity Tier 1	38,241	38,020	33,476	41,319	40,916	36,377
Tier 1 capital	38,241	38,020	33,476	41,319	40,916	36,377
Total capital	49,691	50,396	43,129	52,714	53,240	45,975
Capital Adequacy Ratio (Unit: %)						
Common Equity Tier 1	13.38	13.70	12.88	14.33	14.64	13.61
Tier 1 capital	13.38	13.70	12.88	14.33	14.64	13.61
Total capital	17.39	18.16	16.60	18.28	19.05	17.20

Business Segment Performance

The Kiatnakin Phatra Financial Group ("the Group") businesses are divided into two main areas: the Commercial Banking Business operated by the Bank and Capital Market Business operated by its subsidiaries which are comprised of KKP Capital, Kiatnakin Phatra Securities and Kiatnakin Phatra Asset Management.

Commercial Banking Business includes retail lending, commercial lending, corporate lending, Special Asset Management (SAM) or distressed asset management loan and other loans. The breakdown of total loan portfolio is as follows;

Loans to Customers

Type of loans	December 31, 2020		December 31, 2019		Change
	Amount (Baht million)	Ratio (%)	Amount (Baht million)	Ratio (%)	(%)
Retail Lending	**168,187**	**62.7**	**145,223**	**61.0**	**15.8**
Hire Purchase	127,009	47.3	107,612	45.2	18.0
Personal loan	8,130	3.0	7,993	3.4	1.7
Micro SMEs loan	7,635	2.8	7,954	3.3	(4.0)
Housing loan	25,413	9.5	21,663	9.1	17.3
Commercial Lending	**58,149**	**21.7**	**60,899**	**25.6**	**(4.5)**
Real Estate Development loan	27,991	10.4	31,591	13.3	(11.4)
SMEs loan	30,158	11.2	29,308	12.3	2.9
Corporate Lending	33,091	12.3	23,527	9.9	40.7
Special Asset Management loan	1,138	0.4	509	0.2	123.8
Lombard loan	7,874	2.9	7,987	3.4	(1.4)
Total loans	**268,440**	**100.0**	**238,144**	**100.0**	**12.7**
Total loans (excluding POCI)	**267,735**				**12.4**

Total loans excluding POCI amounted to Baht 267,735 million, expanding by 12.4% from the end of 2019 with increase mainly from the hire purchase, housing and corporate lending segment. The Bank continues with prudent measures in regards to loan growth and portfolio quality monitoring taking into careful considerations the slowdown in economic activities.

Retail Lending totaled Baht 168,187 million, increasing by 15.8% from the end of 2019. Retail loans include hire purchase loans, personal loans, Micro SMEs loans and housing loans.

Hire purchase loans amounted to Baht 127,009 million, expanded by 18.0% from the end of 2019. New hire purchase business volume booked during 2020 totaled Baht 51,152 million, increasing by 26.3% yoy. The portion of hire purchase loan to total Bank loan portfolio stood at 47.3% with the portion of new cars to used cars at 39:61. Domestic new car sales for 2020 totaled 792,160 units, declining by 21.4% comparing to sales for 2019. The penetration rate of the Bank new cars lending to the domestic new car sales for 2020 was at 4.2%, increasing from 2.2% at the end of 2019 mainly due to the Bank expansion into new business segments with higher asset quality.

The Bank's loan portfolio in other retail loans amounted to Baht 41,178 million, expanded by 9.5% from the end of 2019 with total combined other retail loans portion to total Bank loan portfolio at 15.3% as of the end of 2020.

Commercial Lending business loans amounted to Baht 58,149 million, contracted by 4.5% from the end of 2019. Commercial Lending includes real estate development loans and SMEs loans, details are as follows:

Real estate development loans (RE) totaled Baht 27,991 million, declining by 11.4% from the end of 2019 mostly from scheduled repayments and lower activity from economic slowdown.

SMEs loans were Baht 30,158 million, expanded slightly by 2.9% from the end of 2019 in line with the slowdown in private sector. SMEs loan comprises of several business sectors including Apartment & Hotel, Logistics, Commercial & Industrial and Construction Machinery & Materials.

Corporate Lending provides lending services to listed companies and large corporates or financing for investment banking transactions of Capital Market Business. Current outstanding loans totaled Baht 33,091 million, growth of 40.7% from the end of 2019.

Special asset management (SAM) is responsible for distressed asset management business and sale of foreclosed assets. Current outstanding loans totaled Baht 1,138 million increased when comparing to Baht 509 million from the end of 2019 due to the change in classification from TFRS 9 for financial assets classified as Purchased or originated credit impaired from previous classification of Investments in loans.

Lombard Loan, a multi-purpose credit facility for Wealth Management clients using financial assets as collateral. Current outstanding loans totaled Baht 7,874 million, slight decline of 1.4% from the end of 2019.

Loan classifications and Allowance for expected credit losses (ECL)

Under TFRS 9, loans and accrued interest receivables as of the end of December 2020 are classified into stages as follows:

Unit : Baht million	31 December 2020		30 September 2020		30 June 2020	
	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[4]	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[4]	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[4]
Stage 1 : Performing financial assets	247,489	5,595	242,350	5,088	232,992	4,216
Stage 2 : Under-Performing financial assets	15,426	3,026	10,897	1,839	10,135	1,731
Stage 3 : Non-Performing financial assets	8,256	3,080	7,883	2,913	8,736	3,198
Purchased or originated credit-impaired financial assets	780	23	866	8	844	7
Total	**271,951**	**11,725**	**261,996**	**9,848**	**252,707**	**9,152**

As of the end of 2020, allowance for expected credit losses totaled Baht 13,234 million, with expected credit losses under TFRS 9 amounted to Baht 11,725 million and remaining excess loan loss reserve totaled Baht 1,510 million at the end of 2020 which the Bank had gradually released using a straight line method since 1Q20. With the continuing uncertainties from the economic slowdown and prolonged impact from the COVID-

[4] Including ECL for loans and loan commitments and financial guarantees

19 situation, the Bank continues to prudently set up provisions for expected credit losses, including additional management overlay amounts, resulting in total allowance for expected credit losses to total NPLs ratio (coverage ratio) as of end of December 2020 to increase to 170.9% from 111.2% at the end of 2019.

NPLs distribution by loan type (consolidated)

Type of loans	December 31, 2020			December 31, 2019		
	Amount (Baht million)	Ratio (%)	% of loans	Amount (Baht million)	Ratio (%)	% of loans
Retail Lending	**2,699**	**31.9**	**1.6**	**4,051**	**42.4**	**2.8**
Hire Purchase	1,421	16.8	1.1	2,651	27.7	2.5
Personal loan	104	1.2	1.3	135	1.4	1.7
Micro SMEs loan	826	9.8	10.8	922	9.6	11.6
Housing loan	348	4.1	1.4	342	3.6	1.6
Commercial Lending	**4,619**	**54.6**	**7.9**	**5,016**	**52.5**	**8.2**
Real Estate Development loan	3,091	36.6	11.0	3,394	35.5	10.7
SMEs loan	1,528	18.1	5.1	1,622	17.0	5.5
Corporate Lending	0	0.0	0.0	0	0.0	0.0
Special Asset Management loan	1,138	13.5	100.0	494	5.2	97.1
Lombard loan	0	0.0	0.0	0	0.0	0.0
Total NPLs	**8,456**	**100.0**	**3.2**	**9,560**	**100.0**	**4.0**
Total NPLs (excluding POCI)	**7,751**		**2.9**			

The Non-Performing Loans (NPLs) or Stage 3 loans, excluding POCI as of the end of 2020 totaled Baht 7,751 million or 2.9% of total loans, decreasing from 4.0% at the end of 2019 with decline from both retail lending segment and commercial lending segment. The decline is from the Bank continuous focus on asset quality management including debt restructuring, write offs and sale of NPL together with growth in the loan portfolio. However, when comparing to 3Q20, amount of loans in Stage 3 increased slightly after the relief period ended with increase coming from the retail segment. Additionally, a portion of the loans have recently exited the relief programs and the Bank will need to continue to closely monitor the asset quality of all loan segments against an elevated economic uncertainties while setting aside prudent provisioning level for possible deterioration in asset quality post relief periods.

Capital Market business comprises of brokerage business, investment banking business, investment business, and asset management business. Details are as follows:

- **Equity and Derivatives Brokerage Business**

Kiatnakin Phatra Securities Public Company Limited ("KKPS") operates agency business providing both securities and derivatives brokerage services to local and foreign institutional investors, as well as high net worth individuals under Private Wealth Management. For high net worth clients, other wealth

management products are provided such as local and foreign mutual funds and structured products. For 2020, the market share[5] of KKPS was 10.85%, ranking 1st from total 38 brokers. KKPS generated brokerage revenue totaling Baht 1,650 million, comprising of equity brokerage revenue of Baht 1,421 million, derivatives brokerage revenue of Baht 226 million and other brokerage revenue of Baht 3 million. Additionally, KKPS also had brokerage revenue from selling agent fees of Baht 717 million[6].

- **Investment Banking Business**

The investment banking business, operated by KKPS, provides financial advisory service as well as underwriting service. In 2020, the investment banking revenue was Baht 225 million, contributed to financial advisory fee amounting Baht 65 million, underwriting fee amounting Baht 153 million and revenue from tender offer agent of Baht 7 million.

- **Investment Business**

The investment Business is managed by 2 departments in which KKP Capital operates direct investment business, by Direct Investment Department ("DI"), with medium to long-term investment horizon, while KKPS manages short-term investment, by Equity and Derivatives Trading Department ("EDT"). EDT focuses on equity and equity-linked securities in the capital market and derivatives market, with short-term investment not more than 1 year by applying arbitrage investment strategy as well as issuing and offering financial structured products.

In 2020, DI recorded gain on investment including gain on re-measuring securities totaling Baht 283 million[7]. Meanwhile, EDT had gain on investment totaling Baht 1,004 million[8]. Additionally, there were other investment incomes from treasury and liquidity management, resulting in overall investment gain of Baht 1,367 million.

- **Asset Management Business**

Kiatnakin Phatra Asset Management Company Limited ("KKPAM"), under mutual fund and private fund management licenses, offers fund management services to individuals and corporate customers. KKPAM's mutual fund AUM as of 31 December 2020 was Baht 70,167 million with total 61 funds under management consisting of 58 mutual funds and 3 property funds. KKPAM's market share in terms of mutual fund was 1.39%. In 2020, KKPAM's fee income from mutual fund business totaled Baht 499 million. As of 31 December 2020, asset under management from private fund was Baht 14,950 million. KKPAM's fee income from private fund business totaled Baht 151 million.

[5] Including SET and mai but excluding proprietary trading

[6] Including selling agent fee received from subsidiary company

[7] Additionally, DI also had foreign exchange gain Baht 2 million. Total DI gain was Baht 285 million

[8] Income before deducting the cost of hedging, once deducting those costs, net gain was Baht 947 million

Profit and Loss Transaction

For the year ended December 31,	Consolidated		Change	
(Baht'000)	2020	2019	Amount	%
Interest income	19,584,141	18,036,208	1,547,933	8.6
Interest expenses	4,904,954	5,719,962	(815,008)	(14.2)
Interest income, net	14,679,187	12,316,246	2,362,941	19.2
Fees and services income	5,107,313	5,201,699	(94,386)	(1.8)
Fees and services expenses	771,057	597,665	173,392	29.0
Fees and services income, net	4,336,256	4,604,034	(267,778)	(5.8)
Gain on financial instruments measured at fair value through profit or loss	1,078,933	-	1,078,933	n.a
Gain on trading and foreign exchange transactions, net	-	276,581	(276,581)	n.a
Gain on financial liabilities designated at fair value	-	285,937	(285,937)	n.a
Gain (loss) on investments, net	49,555	568,068	(518,513)	(91.3)
Dividend income and profit sharing	389,160	576,265	(187,105)	(32.5)
Other operating income	700,323	540,840	159,483	29.5
Total operating income	21,233,414	19,167,971	2,065,443	10.8
Other operating expenses				
Employee's expenses	5,664,254	5,576,858	87,396	1.6
Directors' remuneration	32,838	47,311	(14,473)	(30.6)
Premises and equipment expenses	1,139,782	1,300,008	(160,226)	(12.3)
Taxes and duties	493,384	427,193	66,191	15.5
Loss from revaluation of foreclosed assets	848,563	124,027	724,536	584.2
Loss from sale of foreclosed assets	893,858	839,752	54,106	6.4
Other expenses	1,579,257	1,879,174	(299,917)	(16.0)
Total other operating expenses	10,651,936	10,194,323	457,613	4.5
Expected credit losses	4,094,627	-	4,094,627	n.a
Impairment loss on loans and debt securities	-	1,676,428	(1,676,428)	n.a
Profit from operating before income tax expenses	6,486,851	7,297,220	(810,369)	(11.1)
Income tax expenses	1,343,722	1,307,485	36,237	2.8
Net profit	5,143,129	5,989,735	(846,606)	(14.1)
Net profit attributable to:				
Equity holders of the Bank	5,123,266	5,988,444	(865,178)	(14.4)
Non-controlling interests	19,863	1,291	18,572	1,438.6
Total comprehensive income attributable to:				
Equity holders of the Bank	5,415,610	5,624,640	(209,030)	(3.7)
Non-controlling interests	19,992	(37)	20,029	(54,132.4)
Basic earnings per share (Baht)	6.05	7.07	(1.02)	(14.4)

KIATNAKIN PHATRA

Profit and Loss Transaction

For the three-month period ended December 31,	Consolidated		Change	
(Baht'000)	2020	2019	Amount	%
Interest income	5,101,421	4,556,804	544,617	12.0
Interest expenses	1,105,666	1,438,580	(332,914)	(23.1)
Interest income, net	3,995,755	3,118,224	877,531	28.1
Fees and services income	1,337,362	1,413,510	(76,148)	(5.4)
Fees and services expenses	185,684	163,340	22,344	13.7
Fees and services income, net	1,151,678	1,250,170	(98,492)	(7.9)
Gain on financial instruments measured at fair value through profit or loss	279,849	-	279,849	n.a
Gain on trading and foreign exchange transactions, net	-	46,590	(46,590)	n.a
Gain on financial liabilities designated at fair value	-	126,406	(126,406)	n.a
Gain (loss) on investments, net	(10,521)	37,938	(48,459)	(127.7)
Dividend income and profit sharing	41,630	96,248	(54,618)	(56.7)
Other operating income	515,922	334,382	181,540	54.3
Total operating income	5,974,313	5,009,958	964,355	19.2
Other operating expenses				
Employee's expenses	1,410,183	1,391,873	18,310	1.3
Directors' remuneration	10,227	12,863	(2,636)	(20.5)
Premises and equipment expenses	289,590	323,325	(33,735)	(10.4)
Taxes and duties	118,414	129,179	(10,765)	(8.3)
Loss from revaluation of foreclosed assets	146,057	62,581	83,476	133.4
Loss from sale of foreclosed assets	138,110	273,843	(135,733)	(49.6)
Other expenses	431,927	538,264	(106,337)	(19.8)
Total other operating expenses	2,544,508	2,731,928	(187,420)	(6.9)
Expected credit loss	2,077,256	-	2,077,256	n.a
Impairment loss on loans and debt securities	-	208,129	(208,129)	n.a
Profit from operating before income tax expenses	1,352,549	2,069,901	(717,352)	(34.7)
Income tax expenses	234,867	391,147	(156,280)	(40.0)
Net profit	1,117,682	1,678,754	(561,072)	(33.4)
Net profit attributable to:				
Equity holders of the Bank	1,108,079	1,679,828	(571,749)	(34.0)
Non-controlling interests	9,603	(1,074)	10,677	(994.1)
Total comprehensive income attributable to:				
Equity holders of the Bank	1,530,017	1,364,553	165,464	12.1
Non-controlling interests	9,754	(1,113)	10,867	(976.4)
Basic earnings per share (Baht)	1.31	1.98	(0.67)	(33.8)